

as Sierra On-Line, Software Toolworks, and Electronic Arts, are evolving from video game companies into game-plus-education companies. Jostens and Edunetics go after the school market directly. Sega supplies some of the hardware.

The Users, Not the Makers

I seldom own the companies that develop the new technologies, however—the makers of the computers and the semiconductor chips that go into them. Semiconductors are what really make computers, cellular phones, fax machines, and much else possible. But Motorola and Intel have never been in our portfolio. Intel and Motorola have done well, but other semiconductor makers, such as Fairchild, failed at the game, and anyway, Intel's and Motorola's customers have made more money than they have. New products are dangerous, especially in the computer field, where obsolescence comes fast and technological breakthroughs bring price slashing every year.

What I have always looked for instead are the downstream users of new technologies. I've bought the stocks of companies that buy, use, and exploit the computers and electronics to reduce costs, revitalize their businesses, and add functionality to their products. Even new industries emerge as people figure out ways to use these devices. (And some industries and enterprises can be made obsolete. I believe that the New York Stock Exchange, since we no longer need a hub to create a trading network, is an anachronism that is taking a very long time to die.)

I may never have owned semiconductor companies, but I've